# Mosquito Authority

Franchise Decision Report

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Source: 2025 Franchise Disclosure Document
Filed with the Wisconsin Department of Financial Institutions
Legal entity: Main Line Brands LLC
Report generated: 2026-03-17

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## Executive Summary

Within the mosquito pest control cohort (7 brands), Mosquito Authority ranks second-lowest in ongoing franchisor fees and lowest in entry cost among the five established systems (100+ outlets). At $300K gross revenue, annual fees total $52,800 (17.6% of revenue). Only Mosquito Sheriff is lower at 13.2% — but Sheriff operates 5 total outlets, making fee-burden comparison structurally asymmetric. Among the five established brands, Authority's fees run $25,000–$33,000/year below the next peer. The system is the largest in the cohort (546 franchised outlets) with zero terminations across the 2022–2024 reporting window.

A favorable relative position within this peer set does not, by itself, validate the underlying business. Single-territory revenue — which the FDD does not directly disclose — appears to fall in the $60K–$120K range for early-year operators (inferred, not stated; see Item 19 section). At those revenue levels, even the cohort's lowest fee burden leaves limited room for owner income after operating costs. The economics case depends heavily on revenue growth and, for many operators, expansion to multiple territories.

The biggest risk is latent, not current: the franchisor reserves the right to implement a national marketing fee of up to 3% of Gross Revenues at any time, which would add $6,000–$15,000/year. The predecessor entity's regulatory history (5 state actions for selling without registration) is real but pre-dates current ownership. Disclosure quality is above average for this cohort, with a rich Item 19 — though a `#REF!` spreadsheet error and minor population mismatches are quality blemishes worth noting.

## Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the mosquito pest control cohort.

| DIMENSION | RATING | SUMMARY |
|---|---|---|
| **Entry cost burden** | STRONG | Lowest entry floor in cohort ($54K). Among established brands (100+ outlets), the gap is wide: $54K–$128K vs $120K–$220K for peers. Mosquito Sheriff ($79K–$81K) is the only brand with a lower ceiling. |
| **Ongoing fee burden** | STRONG | Ranks 2/7 in full cohort (17–18% of revenue). Only Mosquito Sheriff (5 outlets, 13%) is lower. Among the 5 established brands (100+ outlets), Authority is lowest. |
| **System stability** | STRONG | Zero terminations across 3 years. Largest system in cohort (546 outlets) with 1.8% recent attrition — among the lowest, and notably low for a system this size. |
| **Revenue disclosure** | MIXED | Rich Item 19 (company-owned P&L + franchised revenue). But data is per-franchisee, not per-territory. #REF! error in key cell. |
| **Disclosure quality** | MIXED | #REF! spreadsheet error and minor population mismatches. Not fatal, but blemishes in a six-figure decision document. |
| **Downside risk profile** | MIXED | Latent 3% national marketing fee could add $6K–$15K/yr. Predecessor had 5 regulatory actions. Both manageable but real. |
| **Buyer fit breadth** | MIXED | Strong for budget-sensitive owner-operators. Weaker for passive investors or buyers needing high revenue visibility per territory. |
| **Overall** | NOTABLE | Among the lowest cost and lowest attrition in the cohort, with the strongest combination of these two factors at scale. But relative advantage within the peer set does not establish that single-territory economics are strong on an absolute basis. Revenue visibility is limited. |

**OVERALL POSTURE**

Within this cohort, Mosquito Authority shows the lowest entry cost among established brands, a fee burden that ranks 2nd of 7 overall (1st among the five brands with 100+ outlets), and among the lowest franchisee attrition rates — notably low for a system of its size (546 outlets). The fee gap is measurable and compounds over time. However, these are relative comparisons within a seasonal, route-based pest control category where single-territory revenue appears modest. The main limitations are disclosure clarity (per-franchisee not per-territory revenue), latent fee risk (unimplemented 3% national marketing fee), and the open question of whether single-territory economics support a full-time owner draw without multi-territory expansion. A buyer should treat the comparative fee advantage as a structural input — not as a conclusion about profitability.

## Buyer-Fit Profile

### Best fit for

- **Budget-sensitive first-time buyer:** Among the lowest entry costs and ongoing fees in the cohort, which means you preserve more capital for the ramp period and retain more of each revenue dollar after franchisor fees than at most peers.
- **Owner-operator:** The economics work best when you are the primary service provider in the early years. The company-owned P&L includes a $48K manager salary — if you operate yourself, that becomes your draw, not an expense.
- **Buyer who prioritizes low measured attrition:** Zero terminations and steady growth over the 3-year reporting window. This is a system with low disclosed churn — not a guarantee of future stability, but a stronger track record than most peers in this cohort.
- **Buyer comfortable with seasonality:** Mosquito control is seasonal (spring–fall in most markets). You need personal reserves or off-season income plans for winter months.

### Weaker fit for

- **Passive or semi-absentee investor:** At single-territory revenue levels ($100K–$190K in early years), there is not enough margin to pay a manager and still generate meaningful returns. This is an owner-operator business until you scale to multiple territories.
- **Buyer who needs precise revenue projections:** The Item 19 gives averages per franchisee (not per territory), making single-territory projections an exercise in inference rather than direct lookup.
- **Buyer seeking rapid scale:** Authority's growth is slow and steady (+7/year), not explosive. If you want to grow fast, the franchisor's pace may feel conservative.

### Proceed only if

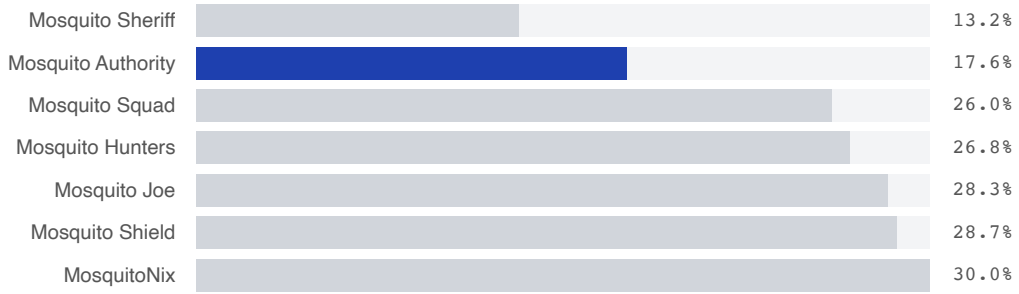
- You can sustain 6–12 months of personal living expenses without relying on franchise income (seasonal ramp risk is real).
- You have validated the latent 3% national marketing fee risk and are comfortable with the possibility of a $6K–$15K/year cost increase at any time.
- You have talked to at least 3 current single-territory franchisees about actual per-territory revenue — the FDD does not give you this number directly.

## Fee Burden Analysis

Mosquito Authority ranks 2nd of 7 in ongoing fee burden across the full cohort, and 1st among the five established brands (100+ outlets). Only Mosquito Sheriff (5 outlets) models lower. The primary driver of Authority's advantage over larger peers is marketing: Authority's local ad minimum ($5,500 or 5%) is 4–7× lower than competitors' mandatory marketing floors ($37,500–$75,000+).

| AT REVENUE | ROYALTY | MARKETING | TECH / OTHER | TOTAL | % OF REV | COHORT RANK |
|---|---|---|---|---|---|---|
| **$200,000** | $20,000 | $10,000 | $6,600 | **$36,600** | 18.3% | 2/7 |
| **$300,000** | $30,000 | $15,000 | $7,800 | **$52,800** | 17.6% | 2/7 |
| **$400,000** | $40,000 | $20,000 | $9,000 | **$69,000** | 17.2% | 2/7 |
| **$500,000** | $50,000 | $25,000 | $10,200 | **$85,200** | 17.0% | 2/7 |

### Cohort fee burden at $300K revenue




Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

### Component breakdown

- **Royalty (10% flat):** Mid-cohort rate. Minimum monthly fee ($700/mo by Year 7+) never exceeds the percentage at modeled revenue levels. (p. 15)
- **Marketing ($5,500 or 5%):** Proportional to revenue with a low floor. No active national fund. This is why Authority's total burden is so much lower — competitors pay $37K–$75K in fixed marketing obligations that hit hardest at low revenue. (pp. 15, 19–20)
- **Technology ($100–$1,200/mo, tiered):** Jumps in $100/mo steps per $50K revenue bracket. At $300K: $400/mo ($4,800/yr). At $500K: $600/mo ($7,200/yr). The escalation is predictable but not obvious from the headline rate. (pp. 16, 21)
- **Website/digital ($250/mo):** Fixed. Covers local site, SEO, review tools. (p. 15)

> **What this means:** At $300K revenue, $247K remains after franchisor fees. Among the five established brands (100+ outlets), the next closest is Mosquito Squad at ~$222K remaining — a $25,000/year gap. (Mosquito Sheriff, with 5 outlets, models even lower fees but is not a comparable system.) That gap is real, but it is a difference in fees paid, not in owner income. COGS, operating costs, vehicle, insurance, and seasonal cash flow gaps still come out of the $247K. The fee advantage matters most for operators who can push revenue high enough that the remaining margin covers a meaningful draw.

> **LATENT RISK — UNIMPLEMENTED NATIONAL MARKETING FEE**
>
> The FDD reserves the right to implement a national marketing fee of up to 3% at any time, adding $6K–$15K/year. No timeline or conditions are specified. If activated, Authority's burden rises to 20–21% of revenue — still below most peers, but the gap narrows significantly. (p. 15, Note 4)

## Item 19 Interpretation

Authority's Item 19 is the second-richest in the cohort, providing both a company-owned P&L and detailed franchised revenue distributions. This is more than most competitors offer — but it requires careful interpretation.

### Company-owned P&L (Part 1)

One company-owned territory in Hickory, NC, operating since 2009. Full P&L for 2023 and 2024:

- Revenue: $374,420 (2023), $384,192 (2024)
- EBITDA: $71,691 (2023), $52,578 (2024)
- **Net income: −$6,852 (2023), −$30,411 (2024)**
  The negative net income is driven by $60,000/year in amortization. Before amortization and depreciation, the location is profitable. But the EBITDA decline from $72K to $53K is a real signal — expenses grew faster than revenue.

**What to be careful about:** This is a single location that has operated for 15+ years. It pays 10% royalty and ~10% in advertising (matching franchisee obligations). It is not representative of a new operator's first years. The manager salary ($48K/year) is included in expenses — if you operate the business yourself, that cost becomes your draw, changing the economics significantly.

### Franchised revenue (Part 2)

Average gross revenue of $464,600 across 128 qualifying franchisees (506 territories). But this is **per franchisee, not per territory**. The average qualifying franchisee owns approximately 4 territories. A single-territory operator should not assume $465K revenue.

The revenue-by-years-active breakdown is more useful: franchisees with "at least 2 full seasons" average $149,470 (median $97,460). Those with 4+ seasons average $192,574. Revenue grows meaningfully with tenure, but the early years are significantly lower than the headline average suggests.

### What's missing

No franchised cost data or profitability. No per-territory revenue. The `#REF!` error in the 10+ Full Seasons cell (p. 55) means the most experienced cohort's average is missing from the filed document.

> **What this means:** You can estimate likely gross revenue from the years-active data ($100K–$190K in early years, growing with tenure), but you cannot estimate profitability from this FDD alone. The company-owned P&L gives cost ratios but from a 15-year mature location that is not representative of a new operation. You will need to build your own expense model or talk to current franchisees.

### Per-territory triangulation

The FDD reports average revenue per **franchisee** ($464,600), not per territory. The qualifying population is 128 franchisees operating 506 territories — an average of 3.95 territories per franchisee. This ratio is critical.

**Implied per-territory revenue:** $464,600 ÷ 3.95 = ~$117,600. This is a rough average, not a disclosed figure — the FDD does not break revenue down by territory. But it aligns with the years-active data: franchisees with 2 full seasons show a median of $97,460 and an average of $149,470. The implied per-territory figure ($118K) falls squarely between these.

The revenue-by-territories-owned table (p. 54) adds another signal: franchisees in the $100K–$250K revenue bracket own a median of 4 territories. That implies $25K–$63K revenue per territory at the lower end. Franchisees earning $500K+ own a median of 5 territories, implying $100K+ per territory — but these are the most established operators in the system.

> **What this means [inference, not disclosed]:** Based on these calculations, a single-territory revenue range of $60K–$120K in early years, growing toward $120K–$190K with 4+ seasons, appears plausible — but this is derived math, not a figure the FDD states. The headline $465K average is not achievable with one territory. Whether single-territory economics support a full-time owner draw after operating costs remains an open question that depends on your market, your cost structure, and your revenue ramp. For many operators, the path to meaningful income may require expanding to multiple territories — but the FDD does not disclose the economics or timeline for that expansion.

## Buyer-Side Economics Reality Check

**Important framing:** This is not a profitability forecast. It is an illustrative scenario exercise designed to help you stress-test buyer-side economics. The FDD does not disclose franchisee profitability.

**Key limitations:** Revenue estimates are inferred from per-franchisee averages and years-active data — the FDD does not disclose per-territory revenue directly. The COGS ratio (23%) is derived from a single company-owned location that has operated for 15+ years and is not representative of a new operation's cost structure. The "Remaining" column is **not** owner income — it must still cover vehicle costs, insurance, storage, office/admin, seasonal cash gaps, personal taxes, and your living expenses. Revenue is seasonal (near-zero in winter months in most markets), which these annualized figures do not reflect.

| SCENARIO | REVENUE | FRANCHISOR FEES | EST. COGS | REMAINING |
|---|---|---|---|---|
| **Conservative (Year 2–3)** | $97,000 | $17,751 (18.3%) | $22,310 | **$56,939** |
| **Moderate (Year 4+)** | $193,000 | $35,319 (18.3%) | $44,390 | **$113,291** |
| **Mature proxy (company-owned)** | $384,000 | $66,408 (17.3%) | $88,320 | **$229,272** |

*Revenue from Item 19 years-active data. COGS at 23% (derived from company-owned P&L, Hickory NC). Franchisor fees from fee burden model. 'Remaining' must still cover: vehicle costs, insurance, storage, office/admin, personal taxes, and your living expenses.*

### What the scenarios tell you

**Conservative (early years):** At median Year 2–3 revenue ($97K — FDD-disclosed median for franchisees with "at least 2 full seasons," p. 53), approximately $57K remains after franchisor fees and estimated COGS. This is not owner income. Vehicle costs, insurance, storage, supplies, and other operating expenses still come out of this amount. If those run $25K–$35K (this report's estimate, not FDD-disclosed), the implied pre-tax owner draw is $19K–$29K. For a seasonal

business with near-zero winter revenue, this level may not support a full-time owner without outside income or reserves.

**Moderate (Year 4+):** At the 4+ season average ($193K — FDD-disclosed average, p. 53), approximately $113K remains after fees and estimated COGS. After operating costs, an owner-operator draw of $50K–$70K may be plausible — but this figure is inferred, not disclosed. The $193K is an average, not a floor; the median at this tenure level would be lower. Variance across markets, territories, and operator skill is not visible from the FDD.

**Mature proxy:** The company-owned location at $384K (FDD-disclosed, p. 51) has operated for 15+ years in a single territory. It employs a paid manager ($48K/year). Even at this revenue level, the location reported negative net income in both years (driven by amortization). This illustrates an important point: **revenue that looks adequate at the gross level can still produce modest or negative returns depending on cost structure.** An owner-operator replacing the manager salary with their own draw changes the math significantly — but that is a choice about lifestyle, not a proof of profitability.

> **STRUCTURAL FRAMING**
>
> Low franchisor fees do not automatically equal attractive owner economics. At $100K revenue, Mosquito Authority's fee advantage over competitors (~$15K–$25K/year) is measurable — but the total revenue base is small, and the remaining margin is thin after operating costs. The fee advantage compounds as revenue grows, but revenue growth itself is uncertain and market-dependent. The FDD does not disclose how many single-territory operators reach $200K+ revenue, or how long it takes. This is the most important unknown in any Mosquito Authority buyer's model.

### What the buyer still needs to validate

- **Actual operating costs [not disclosed]:** Vehicle fuel/maintenance, insurance premiums in your state, chemical costs in your market, storage rental, seasonal labor. None of these are estimated in the FDD. Your expense model must be built independently.
- **Revenue ramp reality [partially disclosed]:** The FDD gives averages and medians by years-active, but not distributions or failure rates. Talk to 3+ current single-territory operators about their Year 1–3 revenue trajectory. Ask specifically about revenue in winter months.
- **Seasonality cash flow [not addressed in FDD]:** Revenue is near-zero in winter months in most markets. The FDD's 3-month working capital estimate ($3K–$10K) does not account for this. You need a separate personal cash reserve for 3–5 months of limited activity.
- **Multi-territory economics [not disclosed]:** If single-territory economics are modest, the path to meaningful income may require expanding to multiple territories. The FDD does not disclose incremental costs, timeline, or economics of second-territory expansion. This is a critical question for franchisee calls.

## Illustrative Payback Sensitivity

The table below shows how long it would take to recover your initial investment under different assumptions about annual owner draw (net income after all costs, fees, and operating expenses — but before personal taxes). These calculations assume full cash investment at signing. If you use the available 50% franchise fee deferral (at 8% over 36 months, FDD p. 13), your initial cash outlay is lower but you carry debt service during the ramp period, which is not reflected in this table.

| ASSUMED ANNUAL OWNER DRAW | LOW INVESTMENT ($54K) | MID INVESTMENT ($91K) | HIGH INVESTMENT ($128K) |
|---|---|---|---|
| **$20K (conservative early years)** | 2.7 years | 4.6 years | 6.4 years |
| **$50K (moderate, Year 4+ target)** | 1.1 years | 1.8 years | 2.6 years |
| **$80K (optimistic mature operation)** | 0.7 years | 1.1 years | 1.6 years |

**ASSUMPTION SENSITIVITY**

These payback periods assume a constant annual draw, which is unrealistic — real income ramps from near-zero in Year 1 to a steady state over several years. A more honest way to think about it: if you enter at the low end ($54K) and can sustain yourself through 2–3 years of modest income, the investment likely pays back within the first 4 years. At the high end ($128K), you need either a longer horizon or faster revenue ramp. The single biggest variable is how quickly you build a recurring customer base.

## Investment Breakdown

Lowest entry floor in the cohort at $54,000, though the range extends to $127,700 (Mosquito Sheriff's range is narrower at $79K–$81K but with a higher floor). The wide spread is driven by two variables: franchise type (Hometown $25K vs Full-Size $45K) and vehicle ($0 if you own a qualifying truck, $30K if not).

| CATEGORY | LOW | HIGH |
|---|---|---|
| Initial Franchise Fee | $25,000 | $45,000 |
| Pre-Opening and First Year Marketing Package | $15,000 | $25,000 |
| Transportation Expenses During Initial Training | $1,000 | $1,500 |
| Computer Hardware and Technology Fees | $1,000 | $2,000 |
| Opening Inventory | $2,500 | $5,000 |
| Storage Facility for inventory and equipment | $0 | $200 |
| Vehicle | $0 | $30,000 |
| Customer Service Vehicle Outfitting Package | $4,000 | $5,000 |
| Insurance (annual premium) | $2,500 | $4,000 |
| Additional Funds for first three months of operation | $3,000 | $10,000 |
| **Total** | **$54,000** | **$127,700** |

### What to know about the major line items

- **Franchise fee ($25K–$45K):** Franchisor will defer up to 50% at 8% over 36 months — unusual flexibility. Some 2024 sales at $31.5K–$35K suggest room to negotiate. (p. 13)
- **Pre-opening marketing ($15K–$25K):** Mandatory branded package. May be reduced if existing franchisees operate nearby. At the low end, this is nearly 28% of total investment. (p. 22)
- **Vehicle ($0–$30K):** Late model white full-size pickup. Own one already and this entire line disappears — it's the single biggest swing factor in the range. (p. 22)
- **Working capital ($3K–$10K):** Only 3 months, which is conservative for a seasonal business with near-zero winter revenue. Plan for personal reserves beyond this. (p. 23)

> **What this means:** A buyer with a qualifying vehicle and the Hometown tier can realistically enter for ~$54K cash (or ~$41K with the fee deferral). A Full-Size buyer needing a vehicle is closer to $100K+. The investment range is real — your actual number depends on decisions you control.

## System Health

Among the lowest attrition rates in the cohort, and the lowest among brands with 100+ outlets (FDD-disclosed, Item 20). Modest growth every year (+5, +10, +7) with no rapid-open/rapid-close churn. For context: Mosquito Shield grew +140 in the same period but lost 128 outlets to terminations and closures. Authority grew +22 and lost 17. The growth is slower, but what growth occurs appears durable.

| YEAR | OPENED | CLOSED | NET | END COUNT |
|---|---|---|---|---|
| **2022** | 7 | 2 | +5 | 529 |
| **2023** | 14 | 7 | +10 | 539 |
| **2024** | 18 | 10 | +7 | 546 |

### Zero terminations

No franchisee was terminated across the entire 3-year window — unique in this cohort. Closures are limited to ceased operations (2, 7, 7) and 3 non-renewals in 2024 (the first in the reporting period). Small numbers against 530+ outlets.

> **What this means:** The franchisor is not aggressively culling underperformers, and franchisees are not walking away. In a cohort where one competitor terminated 65 outlets in a single year, this stability is a meaningful differentiator.

### Active resale market

37, 29, 37 transfers per year (~7% of system). In a system with zero terminations, transfers mean ownership changes with the outlet staying open. People are buying these franchises from existing owners — a signal that the business has resale value.

### Minimal company-owned footprint

One location (Hickory, NC). A second (West Chester, PA) was briefly company-owned in 2023–2024, then sold back. The franchisor is not competing with its franchisees.

## Risk Signals

### Predecessor regulatory history

Five concluded actions — all against predecessor TMA Franchise Systems, Inc., not the current entity (Main Line Brands LLC, formed 2020):

- Maryland (2013): selling without registration
- Rhode Island (2013): selling without registration, $5K penalty
- Virginia (2015): selling without registration, $20K penalty
- Wisconsin (2016): selling without registration, $10K penalty
- Washington (2020): Assurance of Discontinuance (inherited)

Same violation, five states, seven years. This was systemic, not accidental. Under current ownership (since 2020): zero regulatory actions.

> **What this means:** The predecessor had a genuine compliance problem. The current entity appears clean, but the brand's regulatory history is disclosed in every FDD and will surface in any attorney review. Ask the franchisor directly what changed operationally — not just whether new management was installed.

### Document quality

A `#REF!` spreadsheet error in Item 19 (p. 55) and minor population mismatches (129/508 vs stated 128/506). Quality blemishes in the filing, not fabrication signals — but worth noting in a document underlying a six-figure decision.

### Entity and ownership

PE-backed (Susquehanna Private Capital). Straightforward entity structure relative to competitors — notably simpler than Mosquito Joe's 6-layer SPV chain. All brands in this cohort are PE-backed; this is industry-standard for mosquito pest control franchises.

## Peer Context

Among the five established brands in this cohort (100+ outlets), Authority is the only one where you can enter for under $60K, operate with fees under 18% of revenue at $300K, and point to a system with zero terminations. Mosquito Sheriff (5 outlets) and MosquitoNix (8 outlets) also appear in the cohort data tables for completeness but are micro-systems; Sheriff models lower fees but has no comparable system-health track record at scale. Authority is not the most transparent (Squad's Item 19 is richer) or the fastest-growing (Shield added +140 units). Its distinguishing feature is cost structure, not revenue potential — the FDD gives less per-territory revenue visibility than Squad or Joe.

**Closest comparison: Mosquito Squad.** Similar age, both PE-backed, both with solid disclosure. Squad has better unit economics data ($484K/territory) and the richest company-owned P&L in the cohort ($20.8M, 25.9% margin) — but costs 2× more to enter and $25K/year more to operate at $300K revenue. A buyer choosing between these two is trading fee savings (Authority) for disclosure depth and revenue visibility (Squad).

**Sharpest contrast: Mosquito Shield.** Opposite profiles. Shield has the fastest growth (+140) but highest churn (65 terminations in 2023). Lowest royalty (8%) but highest local ad floor ($50K). Authority has higher royalty (10%) but the lowest total burden. Both carry latent risks — Authority's unimplemented national fee, Shield's churn-masked growth — that buyers should price into their models differently.

| METRIC | MOSQUITO AUTHORITY | MOSQUITO HUNTERS | MOSQUITO JOE | MOSQUITO SHERIFF | MOSQUITO SHIELD | MOSQUITO SQUAD | MOS |
|---|---|---|---|---|---|---|---|
| **System size** | 546 | 135 | 415 | 5 | 435 | 226 | |
| **Investment range** | $54K–$127K | $141K–$170K | $150K–$192K | $79K–$81K | $120K–$157K | $162K–$220K | $12 |
| **Fee burden at $300K** | $52,800 | $80,300 | $84,752 | $39,600 | $86,000 | $77,880 | |
| **% of revenue** | 17.6% | 26.8% | 28.3% | 13.2% | 28.7% | 26.0% | |
| **3-year net growth** | +22 | +8 | +43 | +5 | +140 | +3 | |
| **Recent attrition** | 1.8% | 0.0% | 5.7% | 0.0% | 11.1% | 4.3% | |
| **Royalty rate** | 10.0% | 10.0% | 10.0–7.0% | 10.0% | 8.0% | 10.0–8.0% | 1 |

## Decision overlay

| | |
|---|---|
| **Lowest-cost entry** | Mosquito Authority — $54K–$128K. Next closest is Mosquito Shield at $120K–$157K. |
| **Lowest ongoing fee burden (established brands)** | Mosquito Authority — 17–18% of revenue at all levels. Ranks 2/7 in full cohort (Mosquito Sheriff at 13% is lower but operates only 5 outlets). Among the 5 brands with 100+ outlets, Authority is 1st. |
| **Lowest attrition at scale** | Mosquito Authority — Zero terminations across 3 years in a 546-outlet system. Hunters and Sheriff show 0.0% attrition but from much smaller bases (135 and 5 outlets). Authority's track record is more statistically meaningful. |
| **Richest disclosure depth** | Mosquito Squad — Per-territory revenue ($484K average), company-owned P&L with $20.8M revenue and 25.9% margin. |
| **Lowest-friction entry profile** | Mosquito Authority — Lowest entry floor ($54K), simplest entity structure, fee deferral option. Note: low friction to enter does not predict profitability. |
| **Highest growth trajectory** | Mosquito Shield — +140 net units in 3 years. But also 65 terminations in 2023 — growth masks churn. |
| **Highest headline-vs-reality gap risk** | Mosquito Shield — Lowest royalty (8%) but highest local ad floor ($50K). Net burden is among the highest at low revenue. |

## Discovery Day Diligence Script

These questions are derived from specific findings in the Mosquito Authority 2025 FDD. Each includes context on why it matters and what to listen for.

**1.** The FDD reserves a national marketing fee of up to 3%. Under what conditions would you implement it, and what timeline are you considering?

*FDD p. 15, Note 4. Not yet active but could add $6K–$15K/year.*

**WHY IT MATTERS**

This is the single largest latent cost risk. If activated, it adds $6K–$15K/year and narrows Authority's fee advantage over competitors. A buyer needs to price this risk into their decision.

**STRONG ANSWER SOUNDS LIKE**

'We have no plans to implement in the next 2–3 years. If we did, it would be tied to a specific national campaign with measurable ROI targets.' Specific conditions and transparency.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'It's in the FDD as a standard provision. We'll implement it when the time is right.' No specifics, no timeline, no criteria.

**FOLLOW-UP**

Ask whether existing franchisee advisory councils have input on this decision. Ask if it would replace or stack on top of local ad minimums.

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**2.** The company-owned location in Hickory showed declining EBITDA ($72K to $53K) and negative net income both years. What's driving that trend?

*Item 19 Part 1, pp. 51–52. Net income –$6.8K (2023), –$30.4K (2024).*

**WHY IT MATTERS**

This is the only full P&L in the FDD. If the company-owned location's economics are deteriorating, it signals margin pressure that could affect all operators — especially a new one with less pricing power.

**STRONG ANSWER SOUNDS LIKE**

'The EBITDA decline was driven by [specific factor: new technician, call center beta costs, one-time expenses]. Here is what normalized profitability looks like.' Willing to walk through the expense categories.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'Amortization makes the net income look bad — it's really profitable on a cash basis.' Deflects from the EBITDA decline trend, which is the real signal.

**FOLLOW-UP**

Ask for a breakout of the $244K total expenses. Specifically: what are the call center beta costs ($14K in 2024) and will franchisees bear a similar cost?

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**3.** The Item 19 average gross revenue ($464,600) is per franchisee, not per territory. What is the average revenue for a single-territory operator?

*Item 19 Part 2, p. 53. Average franchisee owns ~4 territories.*

**WHY IT MATTERS**

A buyer looking at one territory cannot use the $465K headline number. The per-territory figure is likely $100K–$120K based on implied math. Confirming this directly affects your financial planning.

**STRONG ANSWER SOUNDS LIKE**

'Single-territory operators average around $[X]K in their first 2–3 years.' Specific number, willingness to share segmented data.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'Most of our successful franchisees expand to multiple territories quickly.' Redirects away from the question — implies single-territory economics may not work well.

**FOLLOW-UP**

Ask how many of the 154 franchisees operate exactly one territory, and what their average revenue is.

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**4.** There are 3 non-renewals in 2024 — the first in the 3-year reporting period. What happened?

*Item 20, Table 3, p. 56. Zero non-renewals in 2022–2023.*

**WHY IT MATTERS**

Non-renewals are a signal that some franchisees chose not to continue after their term ended. In a system with zero terminations, this is the only indicator of voluntary exit dissatisfaction.

**STRONG ANSWER SOUNDS LIKE**

'Two were retirements, one was a market that didn't develop as expected.' Specific, honest, willing to provide context.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'Three out of 540+ is insignificant.' Dismissive. Even if statistically small, the trend change matters.

**FOLLOW-UP**

Ask if the non-renewals were in any particular geography or franchise type (Hometown vs Full-Size).

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**5.** The predecessor entity (TMA) had regulatory actions in 5 states for selling without registration. What specifically changed in the compliance process under Main Line Brands?

*Item 3, pp. 11–13. Actions in MD, RI, VA, WI, WA (2013–2020).*

**WHY IT MATTERS**

Five state actions for the same violation over 7 years is a pattern, not an accident. You need to understand whether the root cause was fixed or just papered over by a corporate restructuring.

**STRONG ANSWER SOUNDS LIKE**

'We hired a franchise compliance officer, built a state-by-state registration calendar, and engaged outside franchise counsel. Here's our current registration status.' Structural changes, not just new management.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'That was the old management team. We're a completely different company now.' Corporate veil language without describing actual process changes.

**FOLLOW-UP**

Ask to see proof of current registration status in the states where you plan to operate.

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**6.** The technology fee tiers go up to $1,200/month at $1.05M+ revenue. Is there a cap, or will additional tiers be added?

*Item 6, Note 10, p. 21. 12-tier schedule from $100–$1,200/month.*

**WHY IT MATTERS**

If you scale to multiple territories, this fee scales aggressively. At $1M+ revenue, $14,400/year in tech fees is significant. And if there's no cap, future tiers could be added.

**STRONG ANSWER SOUNDS LIKE**

'$1,200/month is the current cap. We have no plans to add tiers. The fee covers [specific tools and services].' Clear ceiling and value justification.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'The tiers are reviewed periodically.' Leaves open the possibility of unlimited escalation.

**FOLLOW-UP**

Ask what the tech fee specifically pays for — is it Dispatch Plus/FieldRoutes software licensing, or does it include any other services?

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7. There's a #REF! error in the Item 19 table for 10+ Full Seasons franchisees. Can you provide the corrected average?

*Item 19 Part 2, p. 55. Spreadsheet formula error in filed FDD.*

**WHY IT MATTERS**

The 10+ season cohort (60 franchisees, 275 territories) represents the most experienced operators in the system. Their average is the most relevant benchmark for long-term economics, and it's missing from the filed document.

**STRONG ANSWER SOUNDS LIKE**

Provides the corrected number on the spot, or commits to providing it before you leave Discovery Day.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'We'll have to look into that. It's in the next filing.' No urgency to correct an error in the document they're selling from.

**FOLLOW-UP**

If they provide the number, compare it to the median ($450,722). A large gap between average and median would indicate skew from a few very large operators.

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8. What does the Hometown Franchise ($25K fee, smaller territory) look like in practice? How does revenue compare to Full-Size territories?

*Item 5, p. 13. 62 Hometown franchises as of end 2024.*

**WHY IT MATTERS**

Hometown is the cheapest entry point ($25K fee vs $45K). But if revenue potential is proportionally lower, the economics may not be better. You need this comparison to make an informed tier choice.

**STRONG ANSWER SOUNDS LIKE**

'Hometown territories average about $[X]K. They work well for [specific buyer profile]. Here's the territory size difference.' Concrete data and honest framing.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'Hometown is a great option for getting started — you can always upgrade later.' Sales language without economics.

**FOLLOW-UP**

Ask how many of the 62 Hometown operators have upgraded to Full-Size, and what the upgrade process/cost looks like.

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9. The West Chester, PA company-owned location was acquired in 2023 and sold back in 2024. What happened?

*Item 20, Table 4, pp. 63–64. Short-lived company ownership.*

**WHY IT MATTERS**

A franchisor briefly acquiring and then reselling a territory can mean several things: rescuing a struggling operator, testing a market, or flipping inventory. The motive matters.

**STRONG ANSWER SOUNDS LIKE**

'The previous franchisee wanted to exit. We acquired the territory to maintain service continuity and resold it to a qualified buyer within the year.' Operational rationale.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'That's a routine territory transition.' Vague, avoids explaining why the franchisor itself had to step in.

**FOLLOW-UP**

Ask whether the resale price was higher or lower than the original franchise fee. Ask if this is something they do regularly.

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**10.** Transfer volume is ~37/year (7% of system). Are these primarily retirements, upgrades to multi-territory, or something else?

*Item 20, Table 2. 37 transfers in 2022, 29 in 2023, 37 in 2024.*

**WHY IT MATTERS**

Transfer motive tells you whether the resale market is healthy (owners cashing out at a gain) or distressed (owners exiting at a loss). 7% annual transfer rate is high enough to matter.

**STRONG ANSWER SOUNDS LIKE**

Specific breakdown: 'About half are retirements or lifestyle changes, the rest are multi-territory consolidation.' Willingness to connect you with recent sellers.

**WEAK / EVASIVE ANSWER SOUNDS LIKE**

'People sell for all kinds of reasons.' No data, no specifics, won't facilitate introductions to recent sellers.

**FOLLOW-UP**

Ask for the average sale price relative to original franchise fee. If they won't share, ask recent transferees directly.

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## Source & Methodology

**Source document:** Mosquito Authority 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. 232-page regulator-source PDF. SHA-256:
`b3c79bd51cd531ec6e5c34297acd7118ba47d8a9418c1d5fec18c150fd4ab980`

**Extraction:** Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

**Fee modeling:** Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

**Economics scenarios:** Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

**Peer comparison:** Same methodology applied to all 7 brands in this cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Sheriff, Mosquito Shield, Mosquito Squad, MosquitoNix). All from 2025 FDDs filed with Wisconsin DFI.

**Disclaimer:** This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.